AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACC204

Intermediate Financial Accounting

Mid-term Examination
First Semester 2025-2026

15–November–2025

Number of Pages: 2 (including this cover sheet)	**Time Allowed: 90 minut**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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- **Question 1 (20 marks):**

a. Define share warrants and mention three reasons as to why they could be issued. (10 marks)

b. For various reasons, companies often reacquire their own shares. List five reasons as to why companies might buy back their own shares. (10 marks)

- **Question 2 (40 marks):**

Rensing Inc., has $200,000 of 5% preference shares and $300,000 of ordinary shares outstanding. No dividends have been paid or declared during 2021 and 2022. As of December 31, 2023, Rensing Inc. is to distribute $122,000 in dividends.

Required:

How much will the preference and ordinary shareholders receive under each of the following assumptions:

a. The preference is noncumulative and nonparticipating.
b. The preference is cumulative and nonparticipating.
c. The preference is noncumulative and fully participating.
d. The preference is cumulative and fully participating.

- **Question 3 (40 marks):**

On January 1, 2023, Maple Corp. had 20,000 shares of common stock issued and outstanding. During 2023, it had the following transactions that affected the common stock account.

Feb. 1	Issued 10,000 shares for cash
May. 1	Purchased 5,000 treasury shares
June. 1	Issued a 50% stock divided
Sep. 1	Issued 4,500 shares for land

Required:

a. Determine the weighted average number of shares outstanding as of December 31, 2023.
b. Assume that Maple Corp. earned net income of $30,000 during 2023. In addition, it had 5,000 shares of 5%, $10 par value nonconvertible, cumulative preferred stock outstanding for the entire year. Because of liquidity considerations, however, the company did not pay preference dividends in 2022. In 2023, it declared and paid preference dividends. Compute the basic earnings per share (EPS) for 2023, using the weighted average number of shares determined in part (a).
c. Assume the same facts as in part (b), except that the preferred stock was noncumulative. Compute the basic EPS for 2023.
d. Assume the same facts as in part (b), except that the company also has one convertible debenture bond issue outstanding from the previous year. The convertible debenture bond is a 3 percent issue sold at $10 for a lump sum of $100,000 and convertible into a total of 10,000 ordinary shares. Interest expense related to the liability component of the convertible bond is $3,400. The tax rate is 20 percent. Compute the diluted EPS.

[End of Questions]

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